

of incompetent management in a given corporation, he cannot "fire" the offending management, but he can give silent evidence of his disapproval by selling the corporation's securities or by leaving them alone.

TWELVE COMMANDMENTS FOR SPECULATORS

As in any business there are standards of management which cannot be disregarded by the business man, so in speculative investment it is possible to formulate certain rules which must be followed intelligently if success is to be attained. The speculator will never be a success if he attempts to follow any set of rules blindly. There will always be exceptions, he must apply his intelligence keenly in any given situation. Nevertheless, so far as the technical details . . . may be summarized in a few paragraphs, it may be useful to do so.

Never hold fewer than ten different securities covering five different fields of business.

Twelve precepts for the speculative investor may be stated as follows:

- (1) Never hold fewer than ten different securities covering five different fields of business.
- (2) At least once in six months reappraise every security held.
- (3) Keep at least half the total fund in income-producing securities.
- (4) Consider yield the least important factor in analyzing any stock.